PM Interview at ZET - Product Case

Problem Statement -

ZET credit card users can pay in three ways: card at POS machines, card for online payments, and UPI (since the card is on the RuPay network). ZET also has its own UPI app.

Today, only 10% of ZET credit card users use ZET UPI. The goal is to get 50% of ZET credit card users to use ZET UPI. How would you do it?

Candidate -

Before I start, I would like to ask a few clarifying questions.

- What is the business goal behind this? Why does ZET want users on its own UPI app, when they can already use the ZET card on GPay or PhonePe?

Interviewer - We want a bigger share of our users' UPI transactions to happen on the ZET app. That keeps users engaged with us, and gives us better data on how they spend.

Candidate -

Got it. So the goal is the number of UPI transactions on the ZET app, not just downloads.

- How are we defining "use ZET UPI"? I am assuming at least one UPI transaction on the ZET app in the last 30 days.

Interviewer - Yes, that works.

Candidate -

- Who are our credit card users?
- What can users do on ZET UPI today?

Interviewer - About 70% of our card users are new to credit. ZET UPI today lets users send money, collect money, check balance and see transaction history.

Candidate -

Do we have a split of users by age or income?

Interviewer - Roughly 50% are young earners under 28, earning ₹20-50k a month. 30% are self-employed, aged 25-45, earning under ₹50k. The remaining 20% are students, high earners and others.

Candidate -

Thanks. Let me write the user personas →

1. Young earners (50%) → under 28, ₹20-50k a month, first job, use UPI daily for small payments.
2. Self-employed (30%) → 25-45, under ₹50k, run small businesses, a lot of payments to suppliers and from customers.
3. Students, high earners and others (20%).

I would like to focus on **young earners** first →

- They are half of our users.
- They already use UPI many times a day, so the habit exists. We only need to change which app they use.

Is it fine if I focus on this segment?

Interviewer - Yes, go ahead.

Candidate -

I want to understand how they would use UPI. There are two use cases →

1. P2P (person to person) → sending money to parents or friends.
2. P2M (person to merchant) → paying at shops, restaurants, online.

One thing I want to check. I think credit cards on UPI can only be used to pay merchants, not to send money to people. Is that right?

Interviewer - Yes. Credit card on UPI works only for merchant payments.

Candidate -

Then that's important. For sending money to parents or friends, users will use their bank account, and they will mostly do that on GPay or PhonePe, where all their contacts already are.

So I should not try to replace GPay for everything. The place where ZET can win is **paying merchants with the ZET credit card**. That is the transaction only we can make better.

Interviewer - Okay. Why are users not using ZET UPI today?

Candidate -

Problems →

1. Habit → users already use GPay or PhonePe for everything, with their bank account linked. Switching apps feels like extra effort. (P0)
2. Awareness → many users don't know ZET has a UPI app, or that they can pay with their ZET card by scanning any QR code. Since most are new to credit, they need some guidance. (P0)
3. Shop QR codes → shops display GPay, Paytm or PhonePe QR codes, so users think they need that app to pay. Many don't know any UPI app can scan any QR. (P1)
4. Setup effort → linking the card and setting a UPI PIN on a new app takes time. (P1)
5. Trust and fraud → new-to-credit users are careful with a new app and worry about fraud. (P2)
6. No extra reason → ZET UPI does the same things as other apps, so there is no reason to switch. (P0)

Interviewer - Which of these would you solve first?

Candidate -

Habit and "no extra reason" are linked. Users will only change their habit if ZET UPI gives them something GPay can't. Awareness and setup effort are easier to fix, so they should come first.

Solutions →

1. One-tap activation
    a. Since the user already has the ZET card in our app, activate UPI with the card already linked. The user only sets a UPI PIN.
    b. Show the prompt at the right time, for example right after a card payment or when the user checks their bill.
2. Awareness and assisted guidance
    a. WhatsApp messages to existing card users: "Scan any QR code with ZET and pay with your ZET card."
    b. Short videos in Hindi and regional languages explaining how to use it.
    c. Help from our field agents at the time of card onboarding, so new users start with ZET UPI from day 1.
3. A reason to choose ZET
    a. Welcome offer → cashback on the first 3 merchant payments (for example ₹25 each, minimum payment ₹100).
    b. Ongoing rewards → reward points only on ZET card payments made through ZET UPI.
    c. Credit score progress → show "You paid on time this month, your credit score is growing". This matters a lot to new-to-credit users.
    d. Credit limit growth → users who use the card regularly and pay on time become eligible for a higher limit.
4. Trust
    a. Instant alert for every payment, and one-tap block if something looks wrong.
5. More reasons to open the app (later)
    a. Bill payments and mobile recharges with the ZET card.

Interviewer - Why not give a bigger cashback, like flat ₹100 off on the first 5 transactions? Or offer loans of up to ₹5 lakh to users who transact more?

Candidate -

- **Cashback** → ₹100 off on 5 transactions is ₹500 per user. Across lakhs of users, that is very expensive, and many users will leave once the cashback stops. A smaller welcome offer plus ongoing rewards builds a habit at a lower cost.
- **Loans** → most of our users are new to credit and earn under ₹50k a month. Offering a ₹5 lakh loan for spending more can push them into debt they can't repay, and it increases our default risk. Growing the credit limit for users who pay on time is safer and still feels like a reward.

Interviewer - Fair. How would you prioritise?

Candidate -

Solution	Impact	Effort	Priority
One-tap activation at the right moment	High	Low	1
Awareness: WhatsApp, videos, field agents	High	Low	2
Welcome offer + ongoing rewards	High	Medium	3
Credit score progress and limit growth	High	Medium	4
Trust features	Medium	Low	5
Bill payments and recharges	Medium	High	Later

Interviewer - Is going from 10% to 50% realistic?

Candidate -

I would do it in two phases →

1. 10% → ~25% → activation and awareness. Many users simply don't know or haven't set it up. This can move quickly, in 2-3 months.
2. 25% → 50% → needs a real reason to stay: rewards, credit score progress and limit growth. This will take longer, maybe 6-9 months.

Interviewer - What trade-offs do you see?

Candidate -

1. Cashback vs habit → higher cashback brings users faster, but many leave when it stops. I would keep the welcome offer small and spend more on ongoing rewards.
2. Growth vs responsible credit → pushing more spending can increase defaults among new-to-credit users. Rewards should be for using the card and paying on time, not for spending more.
3. Focus vs full UPI app → competing with GPay on every feature is very hard. I would focus on credit card merchant payments first, and add more only if users ask for it.

Interviewer - How will you measure success?

Candidate -

North star metric → % of ZET credit card users with at least one ZET UPI transaction in the last 30 days (10% → 50%).

Input metrics →

- % of card users who have activated ZET UPI
- % of activated users who made their first payment
- UPI transactions per active user per month
- Share of the user's card UPI payments made on ZET vs other apps

Guardrail metrics →

- Cashback cost per active user
- Credit card default rate
- Fraud cases and complaints

I would test the welcome offer with 2-3 cashback amounts on small groups of users, and pick the one that gives the best second-month usage per rupee spent.

Interviewer - Okay, summarise.

Candidate -

- Focus on young earners, who are half our users and already use UPI daily.
- Credit cards on UPI work only for merchant payments, so win merchant payments with the ZET card instead of trying to replace GPay.
- First fix activation and awareness (10% → ~25%), then give a reason to stay through rewards, credit score progress and limit growth (→ 50%).
- Keep cashback small and credit responsible. Track usage, cost per user and default rate together.

Interviewer - Okay, sounds good.